

decades. That's an illustration of what we call "beta-plus." It gives you the benefits of being in the right market at the right time, plus you get the extra gain from buying the best investments at the best time.

THE KEY VARIABLE

But, first, let's put it in perspective. This chapter is about building—and keeping—a fortune by investing. Most people think you should invest one way to create a fortune and another way to protect it. That idea is wrong. Time, not the size of your portfolio, is the key variable. If you're interested in long-term, multigenerational wealth, you should use the same techniques whether you have little money or a lot.

Warren Buffett—along with countless others—has proven that you can build a fortune from investing. We don't recommend you try, for the reasons outlined in Chapter 3. But since the techniques for building and maintaining family wealth are essentially the same, you're going to have to know how investing works.

One problem with the typical investment fortune is that it is hard to hold on to. Because the next generation is not likely to have the rare investment skills (or luck) needed to build and maintain an investment fortune and because the conditions that created the fortune are likely to have changed. Buffett built his fortune by very cleverly investing in great companies at a great time. He studied the numbers. He studied the strategy. He studied the market. He met the management. When he was satisfied that all was in order, he made his bet.

We share Buffett's approach to stock picking. And we share his general philosophy. But only to a point. He's surely right about how to pick stocks. But picking stocks is not all there is to it.

The beauty of Buffett's approach is that it is simple. It is understandable. It makes sense. And it works. But what works for most investors won't work for us. And it is only one in a long list of things that won't work for long-term family wealth.

First, you can forget "get rich quick" schemes. They never work for anyone except the people who sell them. And even if they do occasionally